Opinion | Matthew Brooker, Columnist

Electric Vehicles Are Just the Tip of the UK's Coming China Shock

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By Matthew Brooker

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The UK is sorely unprepared for the wave of Chinese high-tech and high-value exports that's coming. *Photographer: Frederick J. Brown/AFP/Getty Images*

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Takeaways by Bloomberg AI

- The UK's decision-making on China is characterized by "reactivity, inconsistency and opacity", according to a parliamentary committee.
- China's industrial machine now operates at the technological frontier, making advanced products that are pillars of Western economies, and its share of

global manufacturing is expected to reach 45% in 2030.

- Britain is "dangerously exposed" to China's chokehold over critical minerals, and the country's industrial policy is designed to achieve industrial dominance while minimizing China's reliance on the outside world.

The UK's decision-making on China is characterized by "reactivity, inconsistency and opacity," a parliamentary committee declared this week. That's an assessment that's been true for years, but is becoming more alarming as the world's second-largest economy develops more technologically advanced, higher-value exports. Countries unprepared for epochal shifts lose control over how the changes shape them.

The scale of what's been called China Shock 2.0 is mind-numbing. In 2000, before it joined the World Trade Organization, China accounted for 6% of global manufacturing. In 2030, its share will reach 45% – more than double the combined output of the US, Germany and Japan, according to the United Nations Industrial Development Organization.

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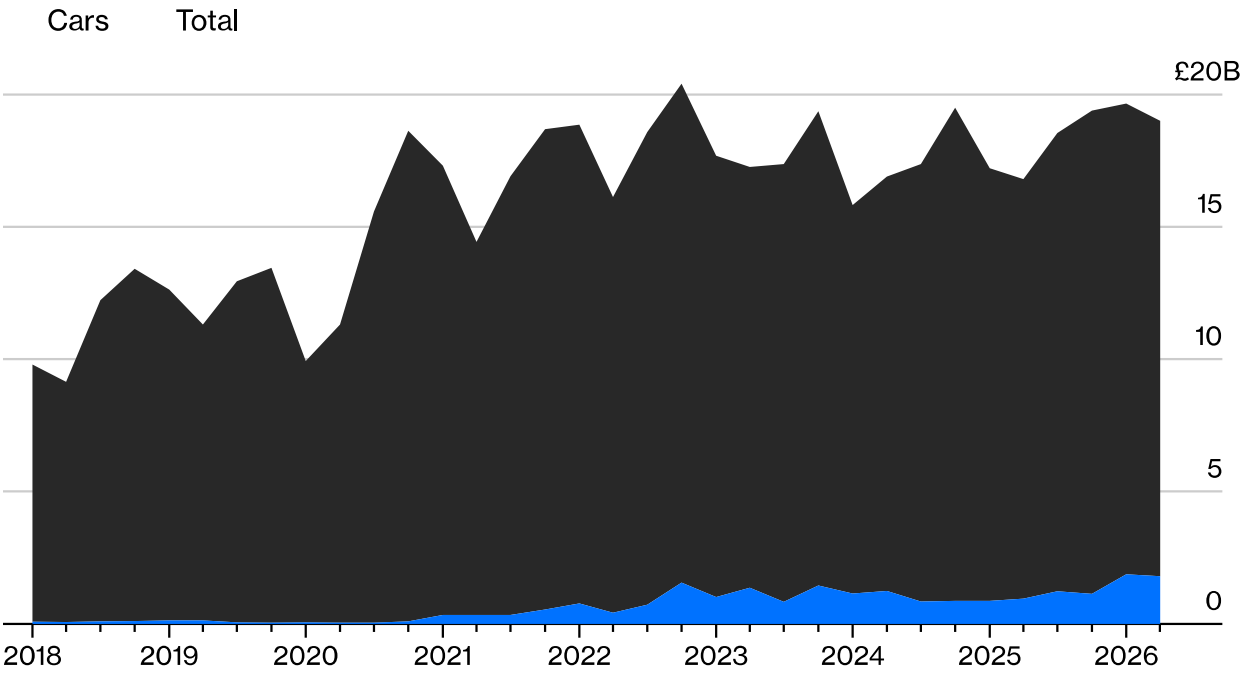
China's industrial machine isn't just vastly bigger than it was when the country sent waves of cheap textiles, toys and other labor-intensive goods into global markets following its WTO membership in 2001. It also now operates at the technological frontier, making advanced products ranging from machine tools to pharmaceuticals that are pillars of Western economies.

Britons have a better view of what's coming than most. The UK declined to join the European Union in levying duties as high as 35.3% on electric vehicles imported from China. As a result, cars from Chinese-owned brands such as Jaecoo and BYD, which had almost no presence here a few years ago,

have proliferated across British roads, capturing almost a quarter of September's new auto sales. They offer ultra-competitive prices, with the latest driver-assisting software and features such as 360-degree cameras included as standard (disclosure: this writer's household recently acquired a Geely).

A Sign of Things to Come?

Chinese EV sales have surged yet are a sliver of the UK's overall goods imports from the nation



Source: Office for National Statistics

Anyone hoping for Britain's reindustrialization, such as Prime Minister Andy Burnham, should worry. China's move up the value chain is simultaneous and all-embracing. Automotive suppliers, steel and chemicals producers, electrical-equipment firms and machinery manufacturers are among those most exposed, according to research firm Rhodium Group. Robotics, aerospace equipment, hydrogen energy, biomedicine, quantum technology, brain-computer interfaces and embodied intelligence are among the next-generation sectors targeted in the country's latest five-year plan, issued in March. Rhodium calls it an "industrial policy of everything."

This isn't just a rising economy challenging incumbents: It's a policy explicitly designed to achieve industrial dominance while minimizing China's reliance on the outside world — and carried out by a Communist

Party-ruled nation with a record of using economic coercion against trading partners. “Chinese industrial and trade policy is a form of statecraft which is designed to strengthen China's state and party at the expense of its rivals,” George Magnus, a former UBS Group AG chief economist and author of the forthcoming *Peak China? The Battle for Global Economic Supremacy*, told me.

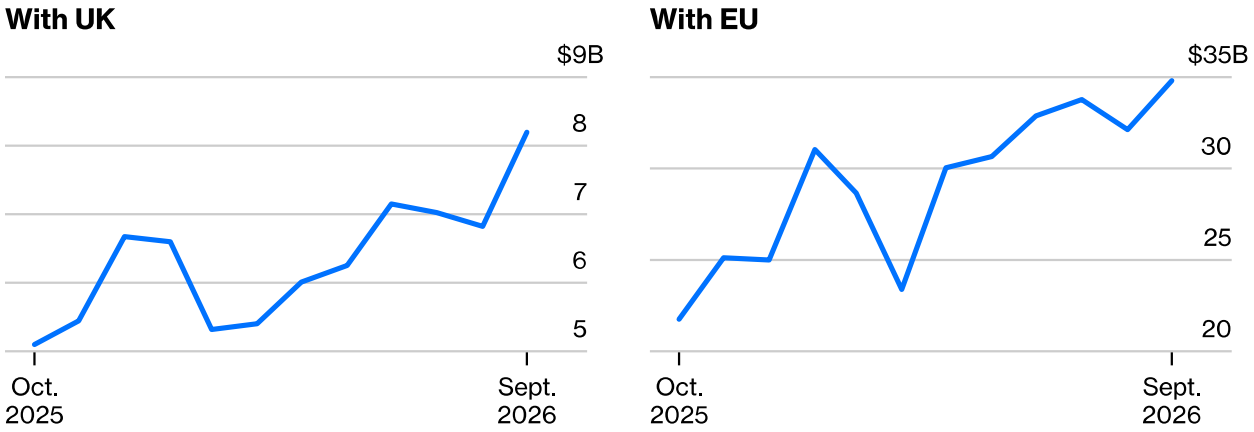
The country has already achieved primacy across a range of products and sectors. Chinese companies have about 70% of the global market for cellular internet-of-things modules, which enable communications from vehicles, payment terminals, routers and other devices. In 2025, they made three-quarters of the world’s electric cars, 80% of its lithium-ion batteries, 80% of its wind-turbine gearboxes and more than 70% of its wind generators. China accounts for more than half of global steel, aluminum and ship production. Britain is “dangerously exposed” to China’s chokehold over critical minerals, including rare earths, the UK’s Business, Innovation, Science and Trade Committee said in a separate report published Thursday.

This may only be the start, according to James Kynge, a senior fellow at the Chatham House policy institute. Kynge, who spent two decades as a foreign correspondent in China, argues that the nation has already surpassed the US as the world’s foremost technological power, citing its widening lead in patent applications and the number of PhD graduates in science, technology, engineering and mathematics it produces.

“This is the biggest event to have hit the world since the US overtook the UK as the world's technological leader in the late 1800s,” Kynge told a panel discussion in London last week. “And if you study what's happening in China, you can see that this is going to intensify and accelerate.” He cited the example of Xiaomi Corp., whose automated production line in Beijing can turn out a car every 76 seconds. There’s a real possibility that Europe will lose much of its industrial base to Chinese competition in the next five years, Kynge wrote in September.

Shock Waves

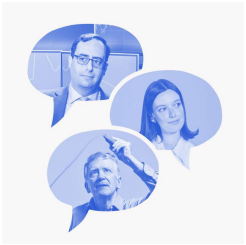
China’s trade surplus with the UK and European Union has surged in the past year



Source: Bloomberg

There are caveats. China has economic problems at home, including weak domestic demand and huge factory overcapacity. Its world-record trade surplus of $1.2 trillion in 2025 reflects an attempt to export its way out of an imbalance partly created by channeling funds into industrial investment while suppressing household consumption. But even if China's technological ascendancy was achieved with the help of unfair subsidies, it remains the reality that Western economies have to reckon with.

Britain's largely services-driven economy may be less exposed than Germany's industrial base, but that provides only partial comfort. Manufacturing generates related work in engineering, design, software and finance; if industry disappears, so will much of that ancillary activity. And China also has ambitions to develop its own services sector.



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Disengagement isn't an option. Britain is already overly dependent on China for too many things. What's needed, as the parliamentary committee recognized, is a transparent framework that delineates where investment can be encouraged, where it should be subject to risk mitigations and where it must be off-limits. A sore point in Scotland was the UK government's

rejection of a proposed £1.5 billion ($2 billion) investment in a wind-turbine factory by Ming Yang Smart Energy Group Ltd. on security grounds. Perhaps the veto was the correct decision; we don't know because the government hasn't shared its rationale.

The current government's China mantra of "cooperate where we can, compete where we need to, and challenge where we must" is about as useful as a nursery rhyme, Liam Byrne, the committee's Labour chairman, told BBC radio on Monday. It's also almost identical to the previous Conservative administration's muddled and ineffective policy.

The second China shock poses a historic challenge. It's time this was more widely appreciated.

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